



# THE DISTRICT

## NORTH HILLS

Extended Stay to Multifamily Conversion  
under construction and in lease-up.

144 UNITS IN RALEIGH, NC



RESIDENCE INN CONVERSION  
PREFERRED EQUITY OPPORTUNITY



STOUT  
VENTURES



**Stout Ventures** is pleased to present the opportunity to invest as Preferred Equity in The District North Hills (Navaho Drive Properties, LLC).

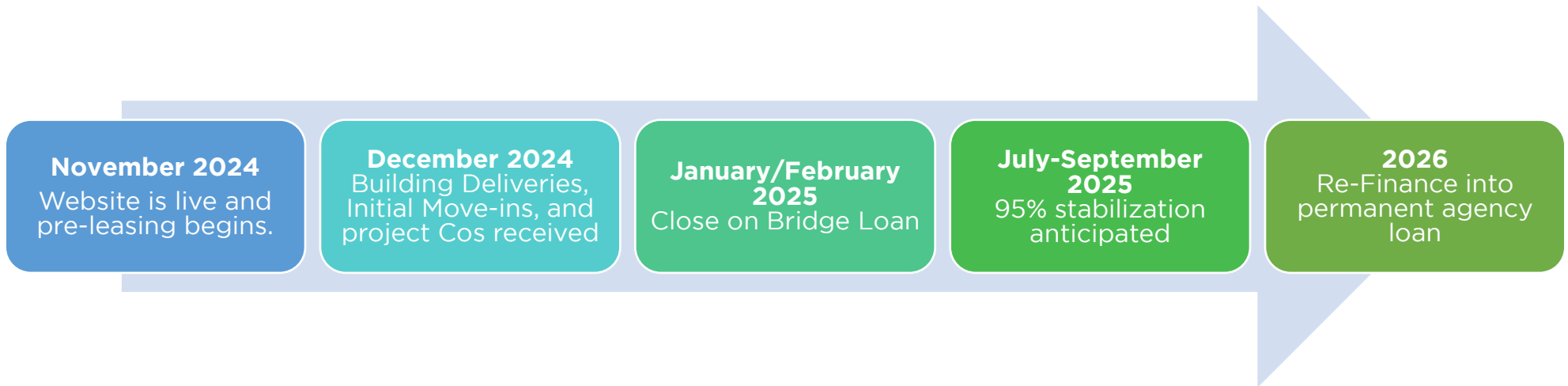
The District North Hills is a multifamily redevelopment project in the rapidly growing North Hills submarket of Raleigh. This asset was previously an extended stay Residence Inn hotel that Stout purchased in June 2023 to redevelop into multifamily housing. We are in the final stages of construction and expect to begin receiving building COs with project completion and final COs expected by the end of this year.

We are raising \$2M of preferred equity at an 10% interest rate to be paid current (quarterly) in order to fund final construction costs and add additional carry and operating reserves until deal stabilization. The preferred equity piece will sit behind the current senior loan (\$17.75M) and current member loans (\$3,010,056), and before the common equity (\$8,973,500).





The Pref. piece presents an attractive opportunity to generate better than market current returns at an attractive basis in the capital stack. The pref basis will be \$25.5M (\$177K/unit) after our bridge re-fi which is materially below comparable sales and our appraised value of \$34.3M upon completion of the project, and \$36.8-\$41.05M upon stabilization. Comparable sales in the market range from \$230K/unit - \$280K/unit.



| Updated Capital Stack             | Value               | Value Per Unit   |
|-----------------------------------|---------------------|------------------|
| Senior Loan (Summit Credit Union) | \$17,750,000        | \$123,264        |
| Current Member Loans              | \$3,010,056         | \$20,903         |
| Preferred Equity                  | \$2,000,000         | \$13,889         |
| Cash Equity Raised at Close       | \$8,973,500         | \$62,316         |
| <b>Total Basis</b>                | <b>\$31,733,556</b> | <b>\$220,372</b> |

| Projected Capital Stack at Bridge Re-Fi | Value               | Value Per Unit   |
|-----------------------------------------|---------------------|------------------|
| New Bridge Loan                         | \$23,500,000        | \$163,194        |
| Preferred Equity                        | \$2,000,000         | \$13,889         |
| Cash Equity Raised at Close             | \$8,973,500         | \$62,316         |
| <b>Total Basis</b>                      | <b>\$34,473,500</b> | <b>\$239,399</b> |

# DEAL UNDERWRITING AND PRO FORMA

| Residence Inn Raleigh       |                        |          |                                              |                     |               |               |               |               |
|-----------------------------|------------------------|----------|----------------------------------------------|---------------------|---------------|---------------|---------------|---------------|
| 144                         |                        |          |                                              |                     |               |               |               |               |
| 79,200                      | Nov-25                 | Nov-25   | Nov-26                                       | Nov-27              | Nov-28        | Nov-29        | Nov-30        |               |
| INCOME                      | Lease-Up Year (Year 2) | Per Unit | T3 At Stabilization                          | Stabilized (Year 3) | Year 4        | Year 5        | Year 6        | Year 7        |
| Rental Income               | \$2,514,517            | \$17,462 | \$2,568,013                                  | \$2,754,893         | \$3,004,415   | \$3,094,548   | \$3,187,384   | \$3,283,006   |
| LTOL                        | (7,450)                | (52)     | (12,846)                                     | (25,463)            | (15,022)      | (15,473)      | (15,937)      | (16,415)      |
| Concessions (M/I)           | (324,250)              | (2,252)  | (47,280)                                     | 0                   | 0             | 0             | 0             | 0             |
| Concessions (Renewal)       | 0                      | 0        | 0                                            | 0                   | 0             | 0             | 0             | 0             |
| Vacancy                     | (887,347)              | (6,023)  | (113,034)                                    | (111,577)           | (146,048)     | (150,429)     | (154,942)     | (159,591)     |
| Non-Revenue Units           | (15,300)               | (106)    | (15,300)                                     | (15,540)            | (14,722)      | (15,163)      | (15,618)      | (16,087)      |
| Credit Loss                 | (6,780)                | (47)     | (12,840)                                     | (27,549)            | (9,013)       | (9,284)       | (9,582)       | (9,849)       |
| Net Rental Income           | \$1,293,390            | \$8,982  | \$2,366,732                                  | \$2,574,764         | \$2,819,610   | \$2,904,199   | \$2,991,325   | \$3,081,064   |
| Economic Occupancy          | 51%                    |          | 93%                                          | 93%                 | 94%           | 94%           | 94%           | 94%           |
| Other Income                | 74,129                 | 515      | 108,951                                      | 134,317             | 147,391       | 151,812       | 156,387       | 161,058       |
| Retail Income               | 0                      | 0        | 0                                            | 0                   | 0             | 0             | 0             | 0             |
| Parking and Storage Income  | 0                      | 0        | 0                                            | 0                   | 0             | 0             | 0             | 0             |
| Utility Income              | 73,800                 | 513      | 112,336                                      | 114,634             | 115,597       | 119,064       | 122,636       | 126,315       |
| Total Other Income          | 147,929                | 1,027    | 221,287                                      | 248,951             | 262,987       | 270,877       | 279,003       | 287,373       |
| Total Income                | \$1,441,319            | \$10,009 | \$2,588,019                                  | \$2,823,715         | \$3,082,598   | \$3,175,075   | \$3,270,328   | \$3,368,438   |
| CONTROLLABLE EXPENSES       |                        |          |                                              |                     |               |               |               |               |
| Salaries                    | 222,000                | 1,542    | 222,000                                      | 222,000             | 228,660       | 235,520       | 242,585       | 249,863       |
| Marketing                   | 43,200                 | 300      | 43,200                                       | 43,200              | 44,496        | 45,831        | 47,206        | 48,622        |
| Administration              | 30,000                 | 208      | 30,000                                       | 30,000              | 30,900        | 31,827        | 32,782        | 33,765        |
| Management Fees (3%)        | 65,701                 | 456      | 77,641                                       | 84,711              | 92,478        | 96,252        | 98,110        | 101,053       |
| Contract Services           | 41,486                 | 288      | 41,486                                       | 46,253              | 47,640        | 49,070        | 50,542        | 52,058        |
| Turnover                    | 6,850                  | 46       | 6,850                                        | 34,213              | 35,239        | 36,296        | 37,385        | 38,506        |
| R&M                         | 34,400                 | 239      | 34,400                                       | 57,758              | 59,490        | 61,275        | 63,113        | 65,007        |
| Security                    | 2,400                  | 17       | 2,400                                        | 2,436               | 2,509         | 2,584         | 2,662         | 2,742         |
| Utilities (Gross)           | 135,056                | 938      | 142,436                                      | 146,531             | 151,355       | 155,896       | 160,573       | 165,390       |
| Total Controllable Expenses | 580,893                | 4,034    | 600,213                                      | 667,101             | 692,768       | 713,551       | 734,958       | 757,006       |
| Real Estate Taxes           | 43,307                 | 301      | 43,307                                       | 43,307              | 43,307        | 44,606        | 45,944        | 47,322        |
| Insurance                   | 91,933                 | 638      | 100,800                                      | 100,800             | 100,800       | 103,824       | 106,939       | 110,147       |
| Total Expenses              | 882,141                | 6,126    | 744,320                                      | 811,208             | 836,874       | 861,981       | 887,840       | 914,475       |
| Reserves                    | 43,200                 | 300      | 43,200                                       | 43,200              | 43,200        | 43,200        | 43,200        | 43,200        |
|                             | Lease-Up Year (Year 2) |          | T3 At Stabilization                          | Stabilized (Year 3) | Year 4        | Year 5        | Year 6        | Year 7        |
| Total Net Operating Income  | \$515,977              | \$3,583  | \$1,800,499                                  | \$1,969,307         | \$2,202,523   | \$2,269,895   | \$2,339,288   | \$2,410,762   |
| Non Profit Fee              | Escrowed               |          | \$16,800                                     | \$16,800            | \$16,800      | \$16,800      | \$16,800      | \$16,800      |
| Asset Management Fee        | -                      |          | \$51,760                                     | \$56,474            | \$61,652      | \$63,502      | \$65,407      | \$67,369      |
|                             |                        |          | Re-Fi onto Perm Loan end of Year 3 (Q4 2026) |                     |               |               |               |               |
| Debt Service (New Loan)     | Escrowed               |          | (\$2,016,300)                                | (\$2,016,300)       | (\$1,246,875) | (\$1,246,875) | (\$1,246,875) | (\$1,246,875) |
| Debt Service (Pref)         |                        |          | (\$193,967)                                  | (\$200,000)         | (\$200,000)   | (\$200,000)   | (\$200,000)   | (\$200,000)   |
| Net Cash Flow               | Escrowed               |          | Escrowed                                     | Escrowed            | \$677,196     | \$942,718     | \$1,010,206   | \$1,079,718   |
| Cash on Cash                |                        |          |                                              |                     | 6.17%         | 8.59%         | 9.21%         | 9.84%         |

**At final completion, we will have deployed ~\$7.5M of capital to fully redevelop the property to its multifamily use.**

Construction items include:

- New Roofs
- New Exterior Paint and Signage
- Fully refinished clubhouse and leasing office. Includes brand new gym and equipment, business center, lounge area, mail and package rooms, yoga room & overflow fitness space
- Full Interior Unit Renovations consisting of new paint, LVP flooring, new hardware and fixtures, new vanities in restrooms, new cabinet faces, new interior doors, and new appliances.
- Exterior enhancements include enhanced amenity spaces a refurbished pool deck with brand new pool furniture, dog park, and improved grilling area.





# NORTH HILLS SUBMARKET HIGHLIGHTS

## NORTH HILLS INNOVATION DISTRICT (existing and under development)

- TOWER 5 & 6
- THE PUMPHOUSE
- ST. ALBAN'S RESIDENTIAL
- 1M+ SF OF PLANNED OFFICE AND WALKABLE CAMPUS
- MIDTOWN EXCHANGE
- VINE & CHANEL HOUSE

## PARK DISTRICT

- TOWER 2,3 & 4
- CAP TRUST TOWER
- LULULEMON
- ADVANCED AUTO PARTS HEADQUARTERS
- BANK OF AMERICA FINANCIAL SERVICES
- HARRIS TEETER
- PARK & METER APARTMENTS
- HIGH-END RETAIL & RESTAURANTS

## CRABTREE HEIGHTS

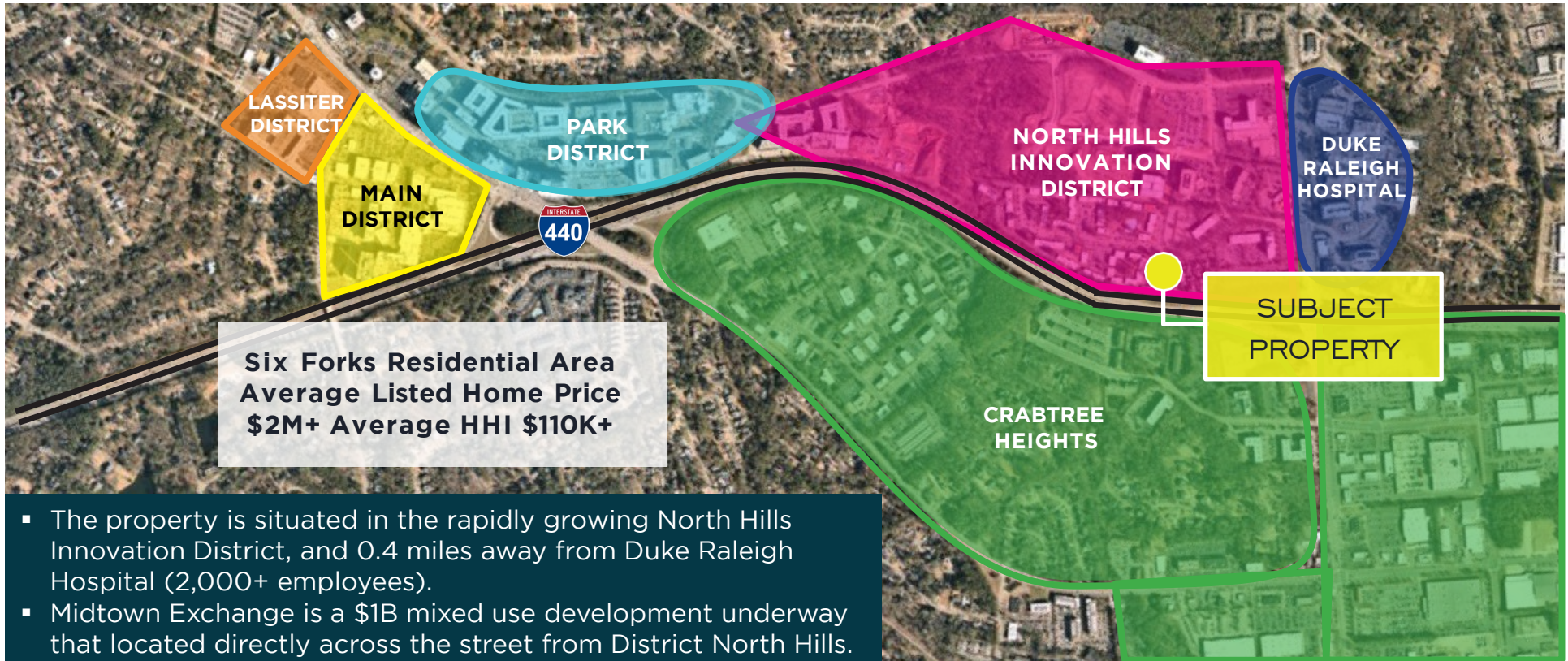
- WEGMANS
- MIDTOWN EAST
- TRADER JOES
- WAKE TECH CAMPUS AFFILIATE

## LASSITER DISTRICT

- PANERA
- VERIZON
- LULULEMON
- LASSITER AT NORTH HILLS (297 UNITS)
- CHIPOLTE
- TOTAL WINE
- NORTH HILLS SHOPPING CENTER

## MAIN DISTRICT

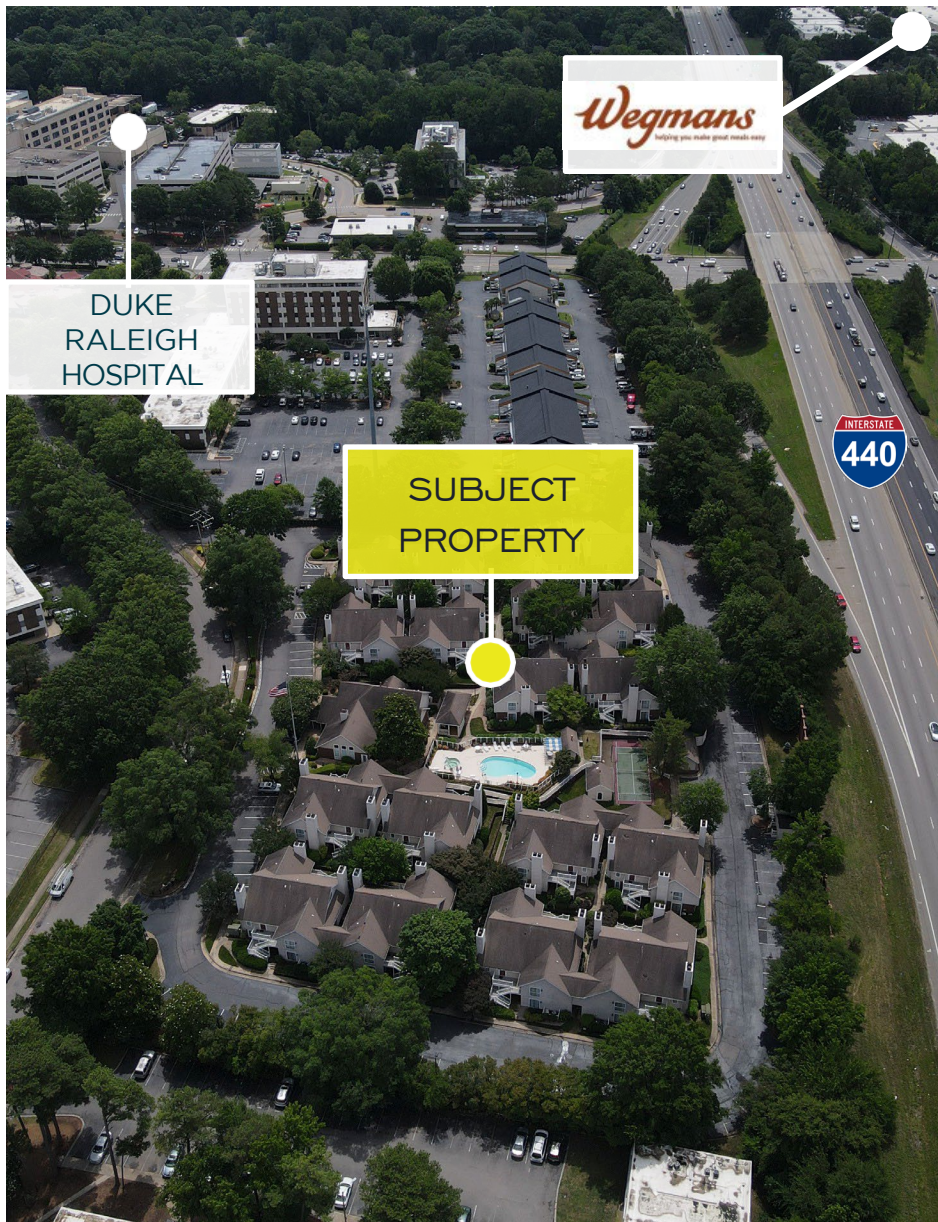
- TARGET
- 400 CENTER (260K SF OF OFFICE)
- 4350 LASSITER (140K SF OF OFFICE)
- THE RENAISSANCE RALEIGH NORTH HILLS
- HIGH-END RETAIL
- 4100 CENTER (100K SF OF OFFICE)
- NHX - NORTH HILLS TOWER (287 UNITS)







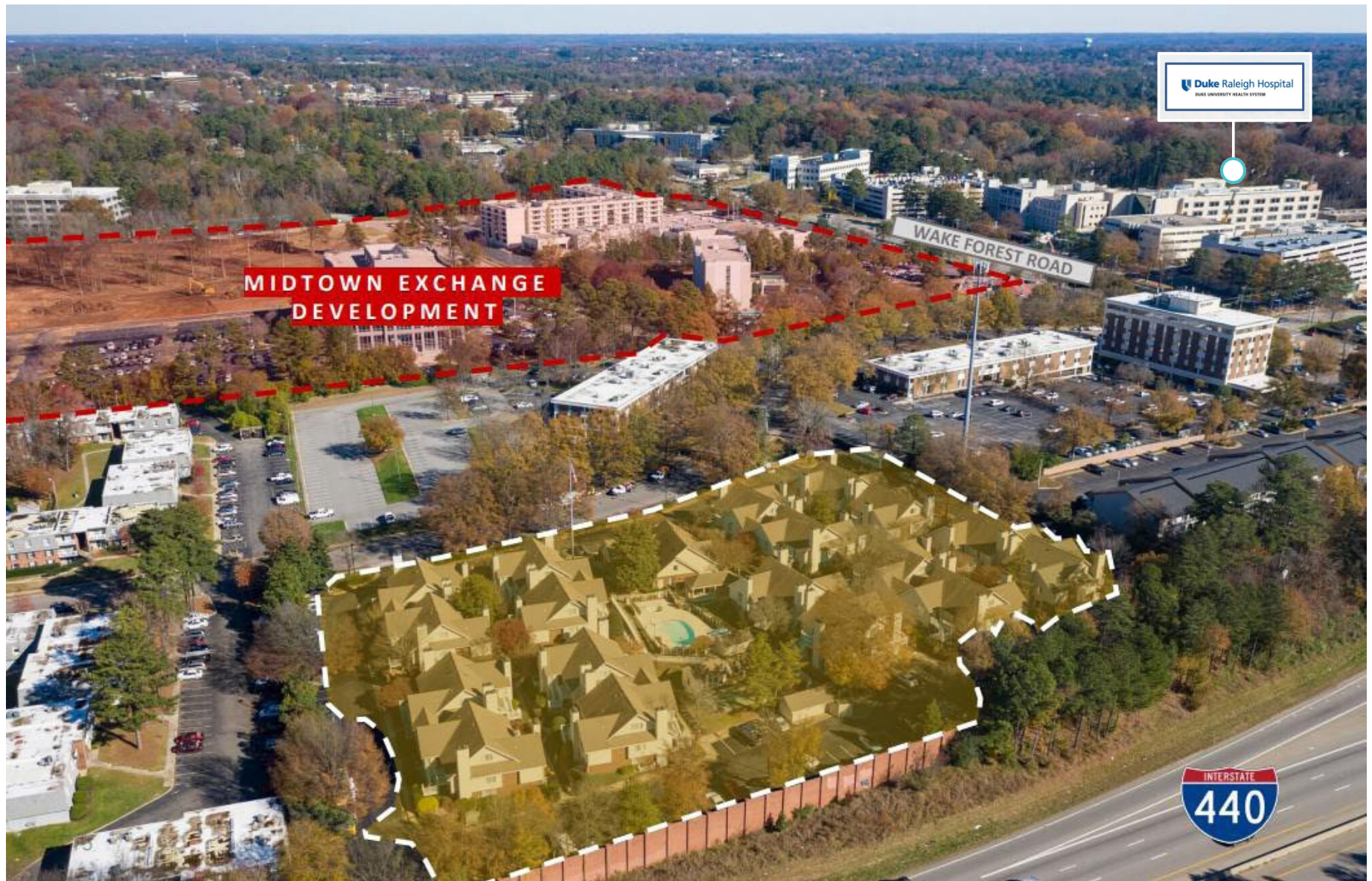














## GROWING HIGH INCOME MIDTOWN LOCATION

The Crabtree/North Hills area has benefited substantially from a roaring local economy, continued infill development success, enviable demographics, and established high quality employment.

## CONVENIENT ACCESS VIA NUMEROUS THOROUGHFARES

Situated nearby to the highly recognizable Glenwood Avenue/Highway 70 corridor, the Property has immediate access to Interstate 440, Wake Forest Rd, E Six Forks Rd, and Atlantic Ave.

## REGIONAL RETAIL DESTINATION

The 1.3 MSF Crabtree Valley Mall the Triangle area's largest and most well established enclosed malls is one of North Raleigh's main focal points with Belk, Macy's, Sears, and 200+ retailers and restaurants that attracts 12 million visitors per year. The Property has immediate access to Crabtree Valley Mall's numerous desirable retailers and eateries such as Belk, Macy's, Pottery Barn, McCormick & Schmick's, Fleming's, and The Cheesecake Factory.

## STRONG EMPLOYMENT CENTER WITH 225,000+ EMPLOYEES

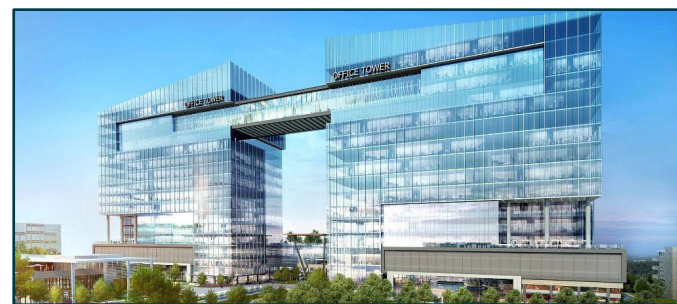
Located in the heart of the Raleigh metro, the Crabtree Valley area is home to numerous large employers and an estimated 225,000 employees in a five mile radius such as UNC REX Hospital, Nationwide Insurance, CSC, Martin Marietta, BB&T, PRA Health Sciences, First Tennessee Bank, FMI Corporation, Ernst & Young, and the State of North Carolina. This concentration of employment has been a major driver in the area's recent urbanizing development.





## NORTH HILLS SUBMARKET (1 MILE)

North Hills, coined as Raleigh's "Innovation District," is home to the capital's life science and entrepreneurship hubs. New developments across this red hot market have been pulling in notable companies as well as fostering a home for local businesses and entrepreneurship ventures. In the past year there has been \$2 billion pledged to the submarket by two well known developers, expanding the innovation district by 50+ acres of class A product bordering the Residence Inn site. The average household income in a 2 miles radius is \$110,000 with the average acting home listing above \$2M.



## NOTABLE BUSINESS

|                 |                         |
|-----------------|-------------------------|
| BANK OF AMERICA | STARBUCKS               |
| CAPTRUST        | WAKE TECH CC            |
| DUKE HOSPITAL   | TARGET                  |
| ADVANCED AUTO   | THE CAPITAL GRILLE      |
| ALLSCRIPTS      | PRICEWATERHOUSE-COOPERS |
| HARRIS TEETER   |                         |

## MIDTOWN EXCHANGE (0.3 MILES)

Dewitt Carolinas is developing a \$1 Billion mixed use office complex walking distance from the Residence Inn. The development includes two towers connected by a pedestrian sky bridge. The first tower, MTX One, brings with it 330,000 SF of class A office space, 19,000 SF of retail, and 5,000 SF of conference and meeting centers across 12 stories. MTX One is the first development in Dewitt's 10 year development plan which includes 790,000 SF of class A office space, a convention center, 125,000 SF of office space etc.

## KANE EXPANSION PROJECT (0.5 MILES)

Kane Realty has announced a \$1 Billion development on a 33 acre piece of land less than 1 mile from the Residence Inn. With the rezoning in 2017 allowing for buildings up to 20 stories, Kane plans to develop an 18 story office building, a 2 story food hall, apartments as well as mixing in natural space and walking rails. With this development, the North Hills campus will expand to 102 acres, and bring with it 25,000 job just within that area.



## DUKE RALEIGH HOSPITAL (0.4 MILES)

Duke Raleigh Hospital is one of the oldest businesses in the North Hills submarket. The campus includes 7 buildings totaling 235,000 SF of medical office space. The main highlight is the 80,000 SF emergency room at the center of the campus. Duke Raleigh Hospital employs 2,000+ employees and is one of the largest hospitals in Wake County. The hospital is 0.4 mile walk from the Residence Inn.



## NORTH HILLS INNOVATION DISTRICT / KANE DEVELOPMENT

**PHASE 1:** Vine North Hills & Chanel House - Phase 1 was inclusive of 2 multifamily developments totaling 526 units with retail space included.

**PHASE 2:** Tower 5 Under Construction - Plans for Tower V call for an 18 story mixed-use office tower complete with ground-floor retail and 458,463 SF of Class A office space and The Pumphouse. The Pumphouse is a 3,305 SF amenity building with outdoor space. The tower project will be situated on 1.9 acres at 540 St. Albans Dr. and sit next to the site for the Pumphouse.

**PHASE 3:** St. Alban's Residential Breaking Ground - St. Alban's Residential, will be a 6-story mixed-use building with 400 apartments and 2,500 SF of ground-floor retail. The value of the project is approximately \$50 million, according to Kane Realty.

**PHASE 4:** St. Alban's Residential Planned - Phase 4 has begun master planning on a 5.3 acre parcel at the southeast corner of the district. Phase 4 will feature 450 apartments, 200,000 SF of office space, and 15,000 SF of retail.

## MIDTOWN EXCHANGE / DEWITT DEVELOPMENT

The development includes two towers connected by a pedestrian sky bridge. The first tower, MTX One, brings with it 330,000 SF of Class A office space, 19,000 SF of retail, and 5,000 SF of conference and meeting centers across 12 stories. MTX One is the first development in Dewitt's 10 year development plan which includes 790,000 SF of class A office space, a convention center, 125,000 SF of office space etc.

## DUKE RALEIGH HOSPITAL

Duke Raleigh Hospital employs 2,000+ employees and is one of the largest hospitals in Wake County. . The campus includes 7 buildings totaling 235,000 SF of medical office space. The hospital has 186 inpatient beds and offers a comprehensive array of services, including, cancer care, cardiovascular care, neuroscience, advanced gastrointestinal care, and wound healing.







WATSON BRYANT

PARTNER

Watson Bryant led the formation of Stout Ventures and focuses on sourcing new acquisitions, as well as asset and portfolio management of Stout's investments. Prior to the formation of Stout, Watson was a Vice Chairman and partner of the Sunbelt Multifamily Advisory Group ("MAG") within Cushman & Wakefield, an advisory practice serving an 11-state footprint in the Sun Belt that was responsible for over 40% of multifamily trading in the Southeast with annual sales volume of \$15 Billion. As a senior leader of MAG, Watson led the sales process of over 200,000 apartment units. He holds a BBA in Real Estate from the University of Georgia and lives in Raleigh with his wife and two children.



TAI COHEN

PARTNER

Tai Cohen joined in the formation of Stout bringing over 11 years of real estate experience to the firm. Prior to joining the Stout team, he led the South Carolina Multifamily Investment Sales Team at Cushman Wakefield with sales of over \$10B. Tai's focus at Stout includes acquisitions, equity relationships, and multifamily development. He holds a BA in Marketing and a minor in Spanish from the University of Georgia. Tai resides in Charleston, SC and enjoys spending his weekends on the water either boating or surfing.



## STINTINO MANAGEMENT

District North Hills is third-party managed by Stintino Management (“Stintino.”) The company provides streamlined operations and procedures, swift communication, and meticulous attention to detail in order to fulfill the requirements of their residents. Stintino utilizes the latest technologies, builds relationships with trusted vendors, and prioritizes transparency. The company has built or acquired over 5,500 units across 7 states representing \$312M of transaction volume. Stintino specializes in renovations with 765 multifamily units renovated since 2022. They offer tailored CapEx draws, transparent project management, real-time information, and systematic quality control. Stintino currently has \$186M of assets under management, including 4 multifamily properties in South Carolina and 6 multifamily properties in North Carolina.



## REDLINE DEVELOPMENT GROUP

Redline Development Group and its affiliated companies, Redline Construction Group (together “Redline”) and Sunbelt Multifamily Properties (“Sunbelt”) were founded in 2020 with a goal of providing a full suite of services to owners and investors of multifamily properties, inclusive of asset management, property management and construction management. Redline’s managing principals, Jon Baack and John Gordon have over 35 years of combined experience in the multifamily industry, with specific expertise in affordable development and management. Most recently prior to the formation of Redline, each managing principal held key leadership positions of a publicly traded fund formerly known as America First Multifamily Investors, L.P., now known as Greystone Housing Impact Investors LP (NYSE: GHI) after its sale of its General Partner in 2019.





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Certain matters discussed in this Memorandum are forward-looking statements. These forward-looking statements are based on current expectations and projections about future events. These forward-looking statements are subject to risks, uncertainties and assumptions, including, among other things, factors discussed below:

Economic outlook.

- Interest rates.
- Changes in regulation application to its Investments.
- Intervention by Federal or State governments in the financial markets.
- Financing activities and closing availabilities.
- Tax status.
- Industry developments, including trends affecting the residential and commercial real estate industry.

Real estate, like many other types of long-term investments, historically has experienced significant fluctuation and cycles in value, therefore, specific market conditions may result in occasional or permanent reductions in the value of the asset or underlying collateral.

Although Stout Operating Firm believes the expectations reflected in such forward-looking statements are based upon reasonable assumptions, it cannot be assured to investors that its expectations will be attained or that any deviations will not be material. Stout Operating Firm undertakes no obligation to publicly release the result of any revisions to these forward-looking statements that may be made to reflect any future events or circumstances.

**THE PURCHASE OF THE UNITS OF THE PARTNERSHIP INVOLVES A HIGH DEGREE OF RISK AND IS SUITABLE ONLY FOR PERSONS OF SUBSTANTIAL FINANCIAL MEANS WHO HAVE NO NEED FOR LIQUIDITY IN THEIR INVESTMENTS. IN ANALYZING THIS OFFERING, PROSPECTIVE INVESTORS SHOULD CAREFULLY CONSIDER THE FOLLOWING RISK FACTORS. THESE RISK FACTORS ARE NOT MEANT TO BE EXHAUSTIVE OF ALL POTENTIAL RISKS ASSOCIATED WITH AN INVESTMENT IN THE COMPANY OR IN REAL ESTATE GENERALLY. EACH PROSPECTIVE INVESTOR SHOULD CONSULT HIS OWN TAX, INVESTMENT AND LEGAL ADVISERS CONCERNING THE MERITS OF THIS OFFERING. THE FOLLOWING DISCUSSION SHOULD NOT BE CONSTRUED AS A PRESENTATION OF THE RISK FACTORS ACCORDING TO PRIORITY OF IMPORTANCE.**





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